New and Beginning Farmer Series: Financial Risk in Agricultural Operations

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Risk and uncertainty are two factors farmers encounter every day. From growing conditions, to input and output pricing, to product marketing and investment decisions, farmers operate based on imperfect information. Imperfect information increases uncertainty and risk and leads to losses.

Risk can be defined as the potential damage or loss associated with an activity or action when

the conditions defined as ideal to guarantee its proper operation or success change. Uncertainty refers to imperfect knowledge about an outcome or refers to situations when the outcome is unknown. When dealing with risk, the probability of loss is known. The greater the uncertainty, the greater the risk. In other words, the less knowledge we have about the future, the greater the associated risk.

There are five areas of risk covering the full spectrum of agricultural production. These include production, marketing, financial, legal and human-relation risk. The interrelation of these types of risk and how it can be reflected in the financial position of an operation make managing these areas of risk a priority. It is extremely important for farmers to establish risk management strategies that minimize risk and contribute to the success of an agricultural business.

Financial Risk

Financial risk includes all risk that threatens the financial health and stability of an agricultural business. Fundamentally, financial risk relates to any financial activity, such as covering expenses, lending and borrowing; use of personal savings; and planning for investments. More formally, financial risk is associated with the management of capital (properties, vehicles, machinery, etc.) that the agricultural business owes, as well as the management of money used to finance operations, which can be obtained from the business's own funds (savings), from other formal institutions (bank loans, mortgages, credit cards) and from unofficial lenders (family loans, angel investors, cooperatives, etc.).

Managing financial risk guarantees the sustainability and financial health of the agricultural business. Time is also an important factor to consider. Depending on the period defined for the analysis, the risk associated with the activity may vary based on a short-, intermediate- or long-term financial obligations.

Components of financial risk

The main components of financial risk are:

- The cost and availability of capital.
- The ability to meet cash flow needs and commitments in a timely manner.
- The ability to absorb short-term financial shocks.
- The ability to maintain and grow the equity in the business.

Agricultural businesses finance their activities through equity, or owned capital, and debt, or borrowed capital. The cost and availability of capital is important when considering financing options. A way to think of the cost of capital is **interest rates**. Lenders assess the financial position of an operation through liquidity, solvency and repayment capacity.

The second component, the ability to meet cash flow needs and commitments in a timely manner, indicates the capacity of the agricultural business to pay its obligations with its current assets if these were sold, which we refer to as **liquidity**. The current ratio and working capital are good indicators of liquidity.

The third component is the ability to absorb short-term financial impacts. This deals with having operating cash (assets - obligations) available to absorb shocks that may be generated unexpectedly.

Finally, the ability to maintain and increase business capital indicates the ability of the agricultural business to maintain its performance in the long-term. It considers the operational efficiency of the business, that is its ability to maximize profitability, by making use of its assets.

Financial risk management and financial statements

Efficient financial risk management relies on building an information system that allows you to evaluate past performance, assess your current financial position and plan for the future. Four key financial statements compose this information system: the balance sheet, income statement, statement of cash flows and statement of owner's equity.

The **balance sheet** reports information on current and noncurrent assets and liabilities and the owner's equity over the accounting period. It is a snapshot of the financial position of an operation and, as such, it allows you to determine the cost and availability of debt capital. It provides information on the operations' liquidity, net working capital, solvency, and equity. These are key when considering financing options.

The **income statement or profit and loss statement** shows the net income for the operation during the accounting period between two balance sheet statements (beginning and ending balance sheets). This is a key statement for profitability indicators, including rate of return in assets and operating profit margin.

The **statement of cash flows** keeps records of cash transactions. It records when cash was generated from selling products, inventory or assets. It also reports on cash transactions related to paying debt, interest rates, production inputs, family living expenses and any asset purchases. Cash flow statements allow you to see if you meet debt obligations in time and if you have enough cash in hand to cover short-term obligations without liquidating any assets.

The **statement of owner's equity** measures the financial growth and progress of an operation. Information from this statement allows you to assess whether actions and activities within the accounting period have added to or decreased the value of your operation.

Good financial records are essential to analyzing the financial performance and health of your

business and reducing financial risk. A farmer can evaluate the liquidity, solvency, growth and profitability of the business and make well-informed decisions about investments, credit options, the course of the business and changes in operations to improve business performance.

Financial risk management tools

In addition to building a good financial information system, several financial tools can help manage or minimize risk. Financial risk management is operation-specific, and the use and effectiveness of these tools depend on the individual farm situation.

Maintaining liquid reserves. Holding a reserve, such as cash or assets easily converted to cash (e.g., receivables, inventory), can help manage short-term shocks and continue operations. The owner, considering the financial obligations that must be paid, determines the level of liquid reserves. However, we caution that there is a difference between cash and savings reserves versus inventory ones as to their impact of paying out debt and continuing farm operations.

Owner's equity. Farmers can finance their operations through debt and equity. By knowing your debt-to-equity ratio you can make better decisions regarding financing. In many cases, lenders would like to see a 1-to-1 relation. Keeping business equity as high as possible by retaining profits or attracting investors can open doors of formal and nontraditional lenders, or it can cover liabilities if some activity does not go as planned.

Rates and credit reserves. When lenders finance agricultural businesses, farmers can use interest rates and credit reserves as financial tools to manage risk. To minimize the risk derived from increasing interest rates farmers can choose fixed interest rates that can be higher when the loan is made but do not increase when interest rates go up. In the same way, farmers can maintain a credit reserve by not borrowing the limit amount established by lenders. This means that farmers will have available loan funds that can be borrowed if some activity results in negative outcomes.

Renting/leasing. Agriculture is capital intensive. The main capital investments include land and machinery. Renting or leasing can reduce financial risk, particularly in cases where there is not enough capital and getting a loan adds more financial stress. By renting or leasing machinery or land, farmers can reduce financial risks. However, it does not mean that there are no other risks involved. There are legal risks.

Whereas the previous tools are directly associated with financial decisions, there are additional tools that help alleviate or mitigate financial risk.

Off-farm employment. Having a source of income that is not tied to agricultural activities

helps farmers and their families manage losses and take away from the stress of covering living expenses. Off-farm employment can also mitigate costs related to health insurance, life insurance and retirement plans that can be more costly for the farmer to cover through private agencies.

Managing other types of risk. Production and marketing related activities can add to financial risk. The level of production and market prices determine the business's revenues from sales as well as expenses. While making production decisions farmers can use enterprise budgets, allowing them to determine crop-specific costs at different levels of production. Production practices, pest management and weather events all have a financial footprint. Similarly, for marketing risk. Price variations, market factors (access to markets, competition), marketing strategies can directly affect business sales as well as incomes and financial stability.

The type of operation (e.g., agritourism or hunting area or labor-intensive operations) can introduce human and legal risks, which can affect the operation's financial position in terms of investment (safety or certifications, for example) or liabilities and insurance. The synergies between the other types of risk and the financial risk must be recognized and based on this; it must be managed as a priority.

Managing financial risk is key for the success of a farm business. A well-established financial information system complemented with some of these financial tools can help not only to reduce exposure to financial risk and other sources of risk due to interrelation but also it can help to take critical decisions needed for the well-being, sustainability, longevity and success of agricultural operations.

Tools for Financial Risk Management

- Do you keep financial records?
- Do you use financial records to monitor the financial position of the agricultural business?

Financial Risk Management Checklist

- Is the business able to pay all short-term obligations without selling any assets?
- What are the main cash flows needs of the business? Is the business able to cover it?
- Is the business able to face a short-term shock that may appear?
- Do the activities add value to the agricultural business?
- Has the business capital grown in recent periods?

For more information:

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新农场主系列

农业经营中的财务风险

风险和不确定性是农场主每天遇到的两个因素。从种植条件到收入和产出变化，再到产品采购和投资决策，农场主都面临着不同全新和进行操作的。不管概论是企业的不确定性和风险导致的结果。

风险可以定义为你保证其正常运行或成功的或预想条件发生变化时，与原始设计的相关的最佳预想或损失。不确定性是指对结果的不完全了解，或是你结果不好的情况。在这种情况时，你大的概率是已知的。不确定性越大，风险就越大。换句话说，你引对未来的了解越少，相关的风险就越大。

这个风险管理指南了为业生产的各个方案，其中包括生产、营销、财务，以及和人员有关的风险。这些改变的风险之间的相互关系以及如何对其反映在你的财务报告中，使得管理这些风险管理成为你生产决策的。对其做出表现。你在风险管理的最可以最大限度地保证风险并促进农业企业的成功是极其重要的。

财务风险

财务风险包括或部分农业企业财务健康和企业稳定的所有风险。从概念上讲，财务风险与所有金融活动有关。如支付费用、借贷、个人储蓄和退休和投资计划。要正式地说，财务风险与农业企业的资本（资产、负债、股东权益）管理以及用于财务运作的资金管理有关。这些资金可以从自有资金（股票）、其他正式机构（银行贷款、抵押贷款、农场主和政府方贷款人）获取贷款、关税收入、合作伙伴和保险。

管理财务风险和以了农业企业的可持续性和财务健康。时间也是一个最重要的因素因素。根据与计划方式的期内，与活动相关的风险可能根据需要，中期或长期财务又各有变化。

财务风险的组成部分

财务风险的主要组成部分有：

- 资本的成本和可用性
- 及时满足资金需求和承诺流的能力
- 表现**财**金神奇的能力
- 维持和增加公司股份的能力

农业企业通过制定或自的资本和负债或借入资本为其活动提供。在资金管理方面的，资本的成本和可用性是重要。也需要成本的一种方式是**利**率。贷款人通过商业性、特殊的方和活动款方式评估企业的财务状况。

第二个组成部分，及时满足资金需求和承诺流的能力，表明农业企业在出售其商品变产时和其他活动条件的能力。我们称之为**流动性**。流动性和和资产变现企业在商品时的能力相关。

第三个要素是导致短期金融影响流的能力，这涉及到影响可用或投资性现金（资产-债务），以现在可能要的产生的冲击。

最后，维持和增加商业资本的能力指农业企业长期维持其业绩的能力。它需要的商业业的监管效率，降低用关资产实现盈利能力最大化的能力。

财务风险管理和财务报表

有效的财务风险管理依赖于建立一个信息系统，使管理能评估这次的业绩，评估当前的财务状况和未来的计划。四个主要的财务报表组成了这个信息系统。即资产负债表、损益表、现金流量表和所有者权益表。

资产负债表报告企业在特定的时间点的财务状况的快照。负债以及所有者权益的总数。它是投资财务状况的清晰。因此，它允许指挥管理各资本的成本和可用性。它提供有关业务流动性、净资运资本、偿付能力和投资的信息。这些要素考虑债务选择的决次数。

现金流或利润表显示在两张资产负债表（期初资产负债表和期末资产负债表）之间的会计期间与经营活动的净收入。主要报告盈利指标。包括资产或负债和要素业利润率。

损益表或收入表反映现金交易。它记录了销售产品、存货或资产产生的现金流时间。它还报告与支付债务、利率、生产投入、原料生产费用和在对资产的现有实际现金交易。现金流量表可以让你看到你是否及时偿还债务，以及有手中是否有足够的现金来支付短期债务而不遇到任何困难。

所有者权益表报告股东活动的财务等长期趋势。该报表提供的信息能总结股东对企业计划的内在行为和活动或存储及或减少了总的投资价值。

良好的财务记录对任何企业的财务决策和健康的风险关是重要。有助于管理财务风险，在核心可以评估业务的活动，偿付能力、筹化和盈利能力，支持投资、保障选择、业务战略和经营变化做出明智的决策，以提高投资绩效。

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